

Professional Advisory Report

Responding to Procurement Misconduct

Greenfield Construction Ltd · Board Advisory Presentation

Bribery Act 2010 · Procurement Act 2023 · Business Ethics

Who we are and why we're here

OUR ROLE

We're independent ethics advisors. Greenfield brought us in after David received the call from Richard Hale on 6 January.

Our job is to give the Board a straight read on the options. That means not telling you what you want to hear, and not softening what's at stake.

We have no commercial interest in the outcome of the tender.

TODAY'S AGENDA

- What happened
- The legal exposure
- Three options, honestly assessed
- What we recommend, and why

THE QUESTION

Richard Hale is directly involved in evaluating your live Avondale tender. He has offered confidential scoring data and a competitor's submission in exchange for employing his son.

Accept, stay quiet, or report it?

The Board hasn't responded yet. David made the right call in bringing this here before doing anything. That matters, both legally and practically.

What happened

WHAT RICHARD OFFERED

Richard Hale is a senior quantity surveyor at Avondale County Council. He's been a business contact for years, and the Greenfield siblings consider him a friend. He's also directly involved in evaluating your £18.5m health centre tender.

On 6 January he called David. Greenfield is currently second. Harmon Developments is ahead on price and social value. Richard offered to share the full scoring breakdown and Harmon's social value submission. Enough to know exactly what to beat.

In return: a job for his son. 'A favour between friends,' he said. 'This is just how things work.'

WHAT'S AT STAKE

This is the largest contract Greenfield has ever pursued. Winning it would sustain 85 jobs over three years, 15 apprenticeships, and mark real progress in the public sector strategy the Board has been building.

Greenfield also invested £2.4m in new equipment on the expectation of contracts like this one.

On the other side of this bid: a deprived community with real health inequalities and a housing shortage. They depend on this process being run fairly.

The legal picture

BRIBERY ACT 2010

Section 1: offering an advantage to induce improper conduct is a criminal offence. Offering employment to Richard's son in exchange for tender information qualifies.

Section 2: accepting such an advantage is also an offence. Receiving insider data, even without acting on it, could be enough.

Section 7 is a corporate offence: failing to prevent bribery. That exposure exists regardless of who in the company made the call.

Strict liability. Maximum sentence: 10 years. (HM Government, 2010)

PROCUREMENT ACT 2023

Public contracts require fair, open, transparent competition. Council evaluators sharing confidential information with a bidder is prohibited outright. Accepting it makes Greenfield complicit in that breach.

If this surfaces after award: the contract gets voided and Greenfield gets debarred from public procurement. Every future tender, gone.

Richard's disclosure is already unlawful. What Greenfield does next determines whether it becomes Greenfield's problem too. (HM Government, 2023)

Greenfield doesn't need to use the information for liability to arise. Receiving it without reporting could be enough.

Three options

Option A — Accept

Could win the £18.5m contract
Sustains 85 jobs in the short term

Criminal offence: Bribery Act ss.1, 2 and 7

Contract voided and debarred from public procurement if discovered
Reputational damage that can't be undone

The exposure exists even if you never use the information

Option B — Stay quiet

No direct criminal exposure
Friendship with Richard preserved

Leaves a corrupt process running
Silence can look like complicity if this surfaces later

Richard may approach the next bidder

Hard to square with 'building with integrity'

Option C — Decline and report ✓

Full legal protection
Consistent with Greenfield's stated values
Public sector pipeline stays intact
Right outcome for the community

Real chance of losing this contract
Short-term financial pressure

Ethical analysis: utilitarianism

THE FRAMEWORK

Utilitarianism asks one question: which action produces the best outcome for the most people?

Bentham and Mill's answer: the greatest happiness for the greatest number. That means counting all affected parties, not just Greenfield. The right action is the one that produces the most welfare overall.

(Crane and Matten, 2019, pp.103-108)

APPLIED TO EACH OPTION

If you accept: one contract won, 85 jobs in the short term. But if it surfaces, and these things do surface, the costs are enormous. Prosecution, debarment, a reputation built over two decades gone. The numbers don't add up.

If you stay quiet: you avoid direct harm to Greenfield. But the corrupt process keeps running. The community still loses out on a fair competition. Marginally better than Option A. Only marginally.

If you decline and report: you might lose this contract. That's a real cost. But Greenfield's public sector pipeline stays intact. The community gets a fair process. Richard's conduct stops before it reaches the next bidder.

One tension to be honest about: utilitarianism depends on probabilities. If detection were certain to be zero, the calculation would change. That's why the deontology analysis matters. It doesn't depend on the odds.

Ethical analysis: deontology

THE FRAMEWORK

Kant's deontological ethics isn't interested in outcomes. An action is right or wrong based on what it is, not what it produces.

Two tests from the categorical imperative:

(i) Universalisability: act only on rules that could apply to everyone

(ii) Humanity: treat people as ends in themselves, not as means to an end

(Fisher and Lovell, 2009, pp.88-95)

APPLIED TO GREENFIELD

Test 1, universalisability. What if every company in a public tender accepted insider information when offered? The entire procurement system collapses. The rule can't be universalised. For Kant, that settles it, regardless of how likely discovery is.

Test 2, humanity. Richard's offer uses the Council, competing bidders, and the community as instruments. Accepting makes Greenfield a participant in that. Kant's second formulation rules it out.

'Building with integrity' is a self-imposed commitment. Carroll (1991) makes the same point: ethical responsibilities constrain how economic goals are pursued. They are not traded off against them.

Two frameworks, one conclusion.

What we recommend

OUR RECOMMENDATION

Decline Richard Hale's offer and report his conduct to Avondale County Council's monitoring officer. Both ethical frameworks lead there. The table below shows what that means for each stakeholder.

Stakeholder	Their interest	Why Option C works for them
Board and shareholders	Risk management, fiduciary duty	Criminal liability off the table; governance obligations met
Employees (85 staff)	Job security, long term	A sustainable reputation is what secures the next contract, and the one after that
Community	A health centre and housing they actually need	Fair procurement gives them the best contractor, not the one with the best connection
Avondale County Council	Procurement integrity	Early disclosure limits their own legal exposure too
Industry and CIOB	Professional standards	Construction has taken enough reputational hits on procurement.
Richard Hale	Friendship, personal interest	Staying quiet doesn't protect him. If this surfaces another way, Greenfield's silence is a problem. Early intervention may limit the damage to him.

Your next contract depends on how you handle this one.

Two frameworks, one answer.

The law is clear too. But the ethical case doesn't depend on it.

Greenfield's public sector strategy runs on its reputation. One contract is not worth the thing that gets you contracts.

Decline in writing. Get legal counsel on the phone. Report to the Council's monitoring officer.

REFERENCES

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